Jaeeun Seo

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Employment

- **Assistant Professor, Sungkyunkwan University** 2026-
- **Visiting Scholar, University of Illinois Urbana-Champaign** 2025-2026
- **Postdoctoral Scholar, Northwestern University** 2024-2025

Education

- **Massachusetts Institute of Technology (MIT)** 2024
  Ph.D. in Economics

References

Professor Arnaud Costinot
MIT Department of Economics
77 Massachusetts Avenue, E52-534
Cambridge, MA 02139
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Professor George-Marios Angeletos
Northwestern University
Kellogg Global Hub, #3389
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Professor Dave Donaldson
MIT Department of Economics
77 Massachusetts Avenue, E52-552
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- **Seoul National University** 2018
  Bachelor in Economics, Mathematics, and Industrial Engineering
  Summa Cum Laude

Fields

- International Trade, Macroeconomics, Spatial Economics

Teaching Experience

- **International Economics I (graduate, MIT course 14.581)** 2020
  Teaching Assistant to Professors David Atkin, Arnaud Costinot, and Dave Donaldson
- **Introduction to Macroeconomics (undergraduate, MIT course 14.02)** 2020-22, 2024
  Teaching Assistant to Professors Martin Beraja, Ricardo Caballero, and James Poterba
- **Microeconomic Theory and Public Policy (undergraduate, MIT course 14.03)** 2021
  Teaching Assistant to Professor Nicolas Lambert

Fellowships, Honors, and Awards

- Best Student Paper Prize, Urban Economics Association 2022
- MIT Department of Economics Fellowship 2018-20
- Doctoral Study Abroad Scholarship, Korea Foundation for Advanced Studies 2018-23
- Presidential Award, Seoul National University 2018
- National Merit Scholarship for Science and Engineering 2011-14

Presentations

2025 Northwestern University, University of Illinois Urbana-Champaign, Federal Reserve Bank of Chicago

2024 Tokyo University, London School of Economics and Political Science, Society of Economic Dynamics Annual Meeting, Northwestern University

Professional Activities

- **Referee:** Econometrica, Journal of Urban Economics
- **Service:** MIT Trade Lunch Organizer 2022-23

Research Papers

- **"Labor Dynamics and the (Mis)allocation of Job Creation"**

  This paper studies the efficiency of job creation across sectors, productivity levels, and locations. Using a frictional labor market model with ex ante job heterogeneity, I characterize two externalities that distort vacancy creation. The opportunity-cost externality arises because firms do not fully consider that hired workers could otherwise be employed elsewhere, while the stepping-stone effect arises because firms losing workers to poaching do not fully internalize the social gains from such job-to-job transitions. These forces interact with heterogeneity in labor dynamics across jobs—some hire mainly from unemployment in slack labor markets, while others expand through poaching in tight ones—leading to systematic misallocation in the composition and spatial distribution of job creation. Calibrating the model to U.S. data, I find that the planner reallocates vacancy creation away from moderately productive jobs (by up to -10%) toward less productive jobs (by up to 20%), and from metropolitan areas with heated labor markets (by up to -27%) to those with frozen ones (by up to 18%). Aggregate welfare rises by about 1.1%, providing an efficiency-based rationale for place-based policies that support weaker labor markets.

- **"Sectoral Shocks and Labor Market Dynamics: A Sufficient Statistics Approach"** Conditionally accepted, *Review of Economic Studies* (with Ryungha Oh)

  In this paper, we develop a sufficient statistics approach to evaluate the impact of sectoral shocks on labor market dynamics and welfare. Within a broad class of dynamic discrete choice models that allows for arbitrary persistent heterogeneity across workers, we show that knowledge of steady-state sectoral worker flows over different time horizons is sufficient to evaluate the labor supply responses to shocks as well as their aggregate welfare consequences. We also establish analytically that assuming away persistent worker heterogeneity, a common practice in the existing literature, necessarily leads to overestimation of steady-state worker flows, resulting in systematic biases in counterfactual predictions. As an illustration of our sufficient statistics approach, we revisit the consequences of the rise of import competition from China. Using US panel data to measure steady-state worker flows, we conclude that labor reallocation away from manufacturing is significantly slower, and the negative welfare effects on manufacturing workers are much more severe than those predicted by earlier structural models without persistent worker heterogeneity.

- **"What Causes Agglomeration of Services? Theory and Evidence from Seoul"** (with Ryungha Oh) *Awarded Best Student Paper Prize (2022) by the Urban Economics Association*

  Why are economic activities concentrated in space? What are the policy implications of this concentration? And how do we expect it to change in the future? We revisit these classic questions in the context of non-tradable services, such as restaurants and retail, in Seoul. To understand the concentration of services, we first causally identify positive spillovers across services stores. We microfound these spillovers by incorporating the trip-chaining mechanism—whereby consumers make multiple purchases during their services travel—into a quantitative spatial model that endogenizes the spatial distribution of services. When calibrated to an original survey on trip chaining, this mechanism explains about one-third of the observed concentration. However, unlike standard agglomeration mechanisms, it does not lead to inefficiency nor it exacerbates welfare inequality. Finally, we show that spatial linkages of services consumption play a crucial role in shaping the impact of the rise of work from home and of delivery services on the distribution of services.

- **"Persistent Noise, Feedback, and Endogenous Optimism: A Rational Theory of Overextrapolation"**

  I propose a noisy rational expectations model with persistent noise. Firms learn about economic conditions from signals, and the noise in the signals is persistent rather than i.i.d. over time. Firms rationally account for the persistence of noise and update their interpretations of signals based on ex post observations of true economic conditions. I show that this process gives rise to a novel mechanism by which optimism arises endogenously, which in turn amplifies or dampens the effects of underlying shocks. In particular, this model can generate the delayed overreaction in firms' expectations documented in the literature, when firms are better informed about idiosyncratic shocks relative to aggregate shocks. Moreover, strategic complementarity between firms and the resulting higher-order optimism further strengthen my mechanism. Finally, I distinguish empirically my rational theory of optimism from behavioral theories by exploiting the difference in the degree of overextrapolation between consensus and individual forecasts.

Research In Progress

- **"Assortative Matching through Partially Directed Search"** (with Ryungha Oh)

In this paper, we develop a frictional search model with partially directed search, where heterogeneous workers and firms tend to search toward partners offering higher matching rates or greater surplus, though imperfectly because of idiosyncratic amenities. We first show that under production complementarity, positive assortative matching arises, and the degree of assortativeness increases in the directedness of search on both workers and firms. In addition, heterogeneity in matching rates depends crucially on the relative degree of search directedness: when firm (worker) search is more directed than worker (firm) search, job-finding rates increase (decrease) in worker productivity. Next, we calibrate the model using German administrative data and show that it successfully replicates both employment patterns and matching rates. Finally, we apply the framework to study how labor market dynamics have evolved over time. We find that both degree of assortativeness and the relative job-finding rates of low-productivity workers have increased. As production complementarities strengthen, the search of low-productivity workers has become increasingly concentrated toward low-productivity, and hence less competitive firms.

- **"The Intensive and Extensive Margins of the Decline in Manufacturing"**
  (with Bumsoo Kim)

  We show that the secular decline of U.S. manufacturing is driven primarily by the extensive margin: young workers disproportionately avoid entry into declining sectors, while incumbents exit through retirement. Using CPS microdata, we document that mobility elasticities with respect to wages are far higher for new entrants than for incumbents. We develop a parsimonious model that rationalizes these patterns and embeds naturally in dynamic trade and structural transformation frameworks. The welfare analysis highlights a trade-off: aggregate gains from mobility, but distributional losses for low-elasticity incumbents—losses that are mitigated by generational entry.

Additional Information

- Citizenship: Republic of Korea
- Gender: Male
- Languages: English (fluent), Korean (native)